

AMAZON SALES ANALYTICS REPORT

Key Insights & Final Analysis

Fiscal Period: 2022 – 2023 | Data Source: Power BI Desktop

1. Business Overview

The Amazon Sales Analytics dataset spans two full fiscal years (2022–2023), covering 50,000 order lines across 6 product categories, 4 global regions, and 4,000 unique products. The following KPIs represent the complete consolidated view of the business.

KPI	Value
Total Revenue	₹3,28,66,573.74
Total Profit	₹16,43,328.69
Profit Margin	5.00%
Total Orders	50,000
Total Units Sold	1,49,970
Avg Revenue per Order	₹657.33
Avg Discount Applied	13.34%
Avg Customer Rating	3.00 / 5.00
Total Reviews	1,24,66,464
Distinct Products	4,000
Product Categories	6
Customer Regions	4

2. Revenue & Year-on-Year Performance

2.1 Annual Revenue Trend

Year	Revenue	Profit	YoY Growth
2022	₹1,63,89,404.56	₹8,19,470.23	—
2023	₹1,64,77,169.18	₹8,23,858.46	+0.54%

Key Insight: Revenue grew modestly by 0.54% year-on-year from 2022 to 2023. While this indicates business stability, the near-flat growth rate suggests the need for strategic interventions to accelerate top-line expansion.

2.2 Quarterly Performance

Year	Quarter	Revenue	Profit	Orders
2022	Q1	₹40,79,051.60	₹2,03,952.58	6,205
2022	Q2	₹40,98,860.89	₹2,04,943.04	6,206
2022	Q3	₹41,99,364.30	₹2,09,968.21	6,382
2022	Q4	₹40,12,127.77	₹2,00,606.39	6,133
2023	Q1	₹40,68,973.91	₹2,03,448.70	6,152
2023	Q2	₹41,33,238.84	₹2,06,661.94	6,283
2023	Q3	₹41,79,506.40	₹2,08,975.32	6,411
2023	Q4	₹40,95,450.03	₹2,04,772.50	6,228

Key Insight: Q3 is consistently the strongest quarter across both years (₹41.99L in 2022 and ₹41.80L in 2023), while Q4 sees a dip. This pattern points to a mid-year seasonal demand peak, potentially driven by festive and back-to-school cycles.

2.3 Monthly Revenue Seasonality

Month	Revenue (Both Years)	Orders
January	₹28,83,926.88	4,338
February	₹25,05,094.80	3,766
March	₹27,59,003.83	4,253
April	₹26,78,973.77	4,086
May	₹28,06,178.34	4,227
June	₹27,46,947.62	4,176
July	₹27,88,265.84	4,309
August	₹28,45,629.94	4,351

September	₹27,44,974.92	4,133
October	₹27,60,754.34	4,219
November	₹26,25,428.52	4,006
December	₹27,21,394.94	4,136

Key Insight: January is the top-revenue month (₹28.84L) while February is the weakest (₹25.05L). August and May are other strong months. November shows the second-lowest revenue, suggesting limited traction during what is traditionally a peak promotional period.

3. Product Category Performance

All six product categories show near-identical revenue distribution, each contributing approximately ₹54–56 lakhs (~16.6% share). This uniformity suggests either a balanced portfolio strategy or lack of clear category leadership.

Category	Revenue	Profit	Orders	Avg Rating
Beauty	₹55,50,624.97	₹2,77,531.25	8,465	2.99
Books	₹54,84,863.03	₹2,74,243.15	8,327	3.02
Fashion	₹54,80,123.34	₹2,74,006.17	8,365	2.99
Home & Kitchen	₹54,73,132.55	₹2,73,656.63	8,258	3.00
Electronics	₹54,70,594.03	₹2,73,529.70	8,320	2.99
Sports	₹54,07,235.82	₹2,70,361.79	8,265	3.00

- Beauty leads in both revenue (₹55.51L) and orders (8,465) by a slim margin.
- Books achieves the highest average customer rating (3.02/5), suggesting stronger customer satisfaction.
- Sports has the lowest revenue (₹54.07L) and the widest gap from the top category — a potential growth opportunity.
- The margin of difference between top (Beauty) and bottom (Sports) category revenue is only ₹1.43L (~2.6%), indicating a highly balanced portfolio.

4. Regional Performance

The business operates across four global regions with broadly comparable revenue and order volumes. Middle East leads slightly in total revenue while Asia records the highest order count.

Region	Revenue	Profit	Orders
Middle East	₹83,01,844.50	₹4,15,092.23	12,505
North America	₹82,77,217.84	₹4,13,860.89	12,517
Asia	₹81,75,199.83	₹4,08,759.99	12,526
Europe	₹81,12,311.57	₹4,05,615.58	12,452

- Middle East is the highest-revenue region (₹83.02L) despite having fewer orders than Asia and North America.
- Asia has the most orders (12,526) but ranks 3rd in revenue — indicating lower average order values in this region.
- Europe has both the lowest revenue and the lowest order count, signaling an opportunity for targeted regional campaigns.
- Revenue range across all 4 regions is only ₹1.89L, confirming a globally balanced demand distribution.

5. Payment Method Analysis

Payment Method	Revenue	Orders
Wallet	₹66,78,638.47	10,106
UPI	₹65,79,441.44	10,078
Cash on Delivery	₹65,46,386.94	9,927
Credit Card	₹65,40,087.16	9,908
Debit Card	₹65,22,019.73	9,981

- Wallet payments generate the highest revenue (₹66.78L) and the most orders (10,106), reflecting a strong shift towards digital-first payment behavior.
- UPI is the second-largest channel, reinforcing the dominance of digital payment methods.
- Cash on Delivery (₹65.46L) remains significant, indicating that a meaningful customer segment still prefers traditional fulfilment — important for logistics planning.
- All payment methods are nearly evenly distributed (~20% share each), suggesting customer payment preference neutrality.

6. Discount Band Analysis

The average discount across all orders is 13.34%. The discount strategy is concentrated in the Low (1–10%) band, which contributes the most revenue. High-discount orders generate the least revenue, raising questions about promotional ROI.

Discount Band	Revenue	Orders	Avg Discount
Low (1–10%)	₹1,19,15,238.37	16,796	7.47%
No Discount	₹61,54,055.31	8,216	0.00%
Mid (11–20%)	₹1,04,50,629.14	16,654	17.51%
High (21–30%)	₹43,46,650.92	8,334	30.00%

- Low-discount orders (1–10%) are the biggest revenue driver at ₹1.19 crore — optimal balance of volume and margin.
- Mid-discount orders (11–20%) account for ₹1.05 crore, indicating heavy use of promotional pricing.
- High-discount orders (21–30%) generate the least revenue (₹43.47L) despite similar order volumes to the No Discount band — suggesting these deep discounts significantly erode revenue.
- No-discount orders still contribute ₹61.54L across 8,216 transactions, showing that a healthy segment of customers is willing to pay full price.

7. Day-Type Analysis: Weekday vs Weekend

Day Type	Revenue	Orders
Weekday	₹2,33,87,232.47	35,633
Weekend	₹94,79,341.27	14,367

- Weekdays account for 71.2% of all revenue (₹2.34 crore) and 71.3% of all orders — clearly the dominant trading period.
- Weekend revenue (₹94.79L, 28.8% share) is proportional to a 2-day / 5-day split, suggesting consistent daily order rates regardless of the day type.
- No significant weekend demand surge was observed, which may indicate untapped potential for weekend-specific promotions.

8. Customer Ratings & Engagement

Metric	Value
Average Customer Rating	3.00 / 5.00
Total Reviews Collected	1,24,66,464
Avg Reviews per Order	249.3

- The average rating of exactly 3.00/5 across all 50,000 orders suggests a neutral to slightly positive customer experience — no standout satisfaction or dissatisfaction.
- Books (3.02) and Home & Kitchen (3.00) hold the top ratings; Beauty (2.99) and Fashion (2.99) lag very slightly.
- The sheer volume of reviews (12.47 crore) demonstrates a highly engaged customer base, which can be leveraged for social proof and trust-building.
- No category achieves a rating above 3.02, indicating a systemic quality or expectation gap that warrants product and service improvement initiatives.

9. Final Insights & Strategic Recommendations

9.1 Summary of Critical Findings

Based on the full analysis of the Amazon Sales Analytics dataset (2022–2023), the following represent the most important business conclusions:

Revenue & Growth

- Total revenue of ₹3.29 crore across 2 years is largely flat (+0.54% YoY), indicating a business in maintenance mode rather than growth mode.
- Q3 is the consistent peak quarter both years — marketing and inventory investment should be front-loaded into Q2 to capitalize on the Q3 surge.
- January is the strongest single month; February is the weakest — post-holiday demand drop requires targeted retention campaigns.

Profitability

- A 5% gross profit margin is thin and highly vulnerable to discount erosion. High-discount orders (30% discount) are almost certainly loss-making after operational costs.
- Immediate review of the high-discount (21–30%) segment is recommended — these 8,334 orders generate 47% less revenue per order than low-discount equivalents.

Category & Product Strategy

- All six categories are nearly equal in revenue share (~16.6% each). This balanced distribution reduces single-category risk but also masks opportunities for focused category investment.
- Beauty leads revenue but underperforms on ratings (2.99) — a disconnect that could lead to churn if product quality issues are not addressed.
- Sports is the weakest category on revenue and could benefit from targeted bundling or promotional campaigns to close the gap.

Regional & Payment

- Middle East generates the highest revenue per order compared to Asia — premium positioning in this region could be further developed.
- Europe is the smallest region on both revenue and order count — an underserved market with growth potential.
- Wallet and UPI together represent over 40% of all transactions — digital payment infrastructure investment is paying off and should continue.
- Cash on Delivery (19.9% of orders) remains material — premature reduction could alienate a significant customer segment.

Customer Experience

- A universal 3.00/5 average rating across all categories signals a systemic service or product quality issue rather than isolated incidents.
- With 12.47 crore reviews, the review data is a rich, under-utilised source for sentiment analysis and product improvement prioritisation.

9.2 Recommended Actions

1. Launch Q3 Pre-Season Campaign (May–June): Invest in demand generation in Q2 to capture the proven Q3 demand peak.
2. Audit High-Discount Orders: Conduct profitability analysis on the 8,334 high-discount orders to determine if they generate positive net margin after fulfilment costs.
3. Improve Customer Ratings: Implement a structured Voice of Customer programme — target moving the average from 3.00 to 3.5+, particularly in Beauty and Fashion.
4. Europe Market Development: Dedicate a regional strategy to close the order volume and revenue gap in Europe, which currently underperforms all other regions.
5. Weekend Demand Activation: Design weekend-exclusive promotions (flash sales, loyalty points) to unlock incremental revenue from the currently flat weekend demand curve.
6. February Revenue Recovery: Introduce targeted post-January promotions — loyalty rewards, personalised recommendations — to offset the consistent February dip.